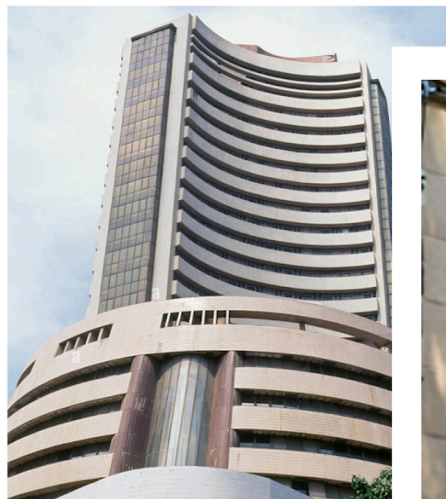


General Knowledge

Indian Economy

STUDY NOTES

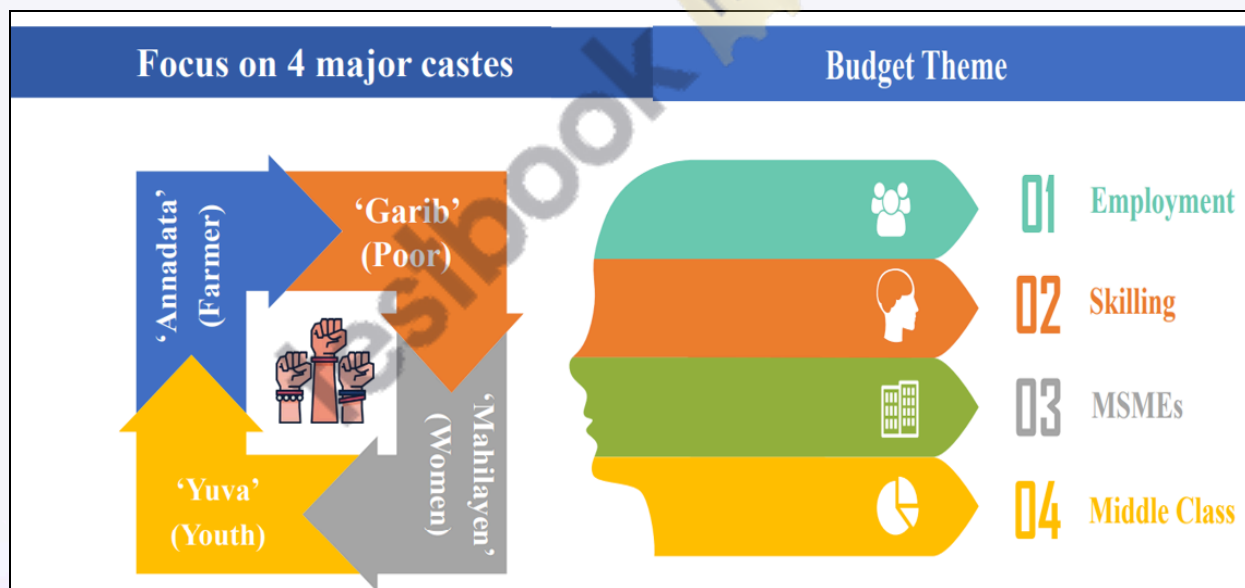
Key Features of Budget 2024-2025



Key Features of Budget 2024-2025

The Union Budget for the fiscal year 2024-25 was presented by **Finance Minister Nirmala Sitharaman** on **July 23, 2024**. The government has planned a total expenditure of **₹48.21 lakh crore** for the year 2024-25.

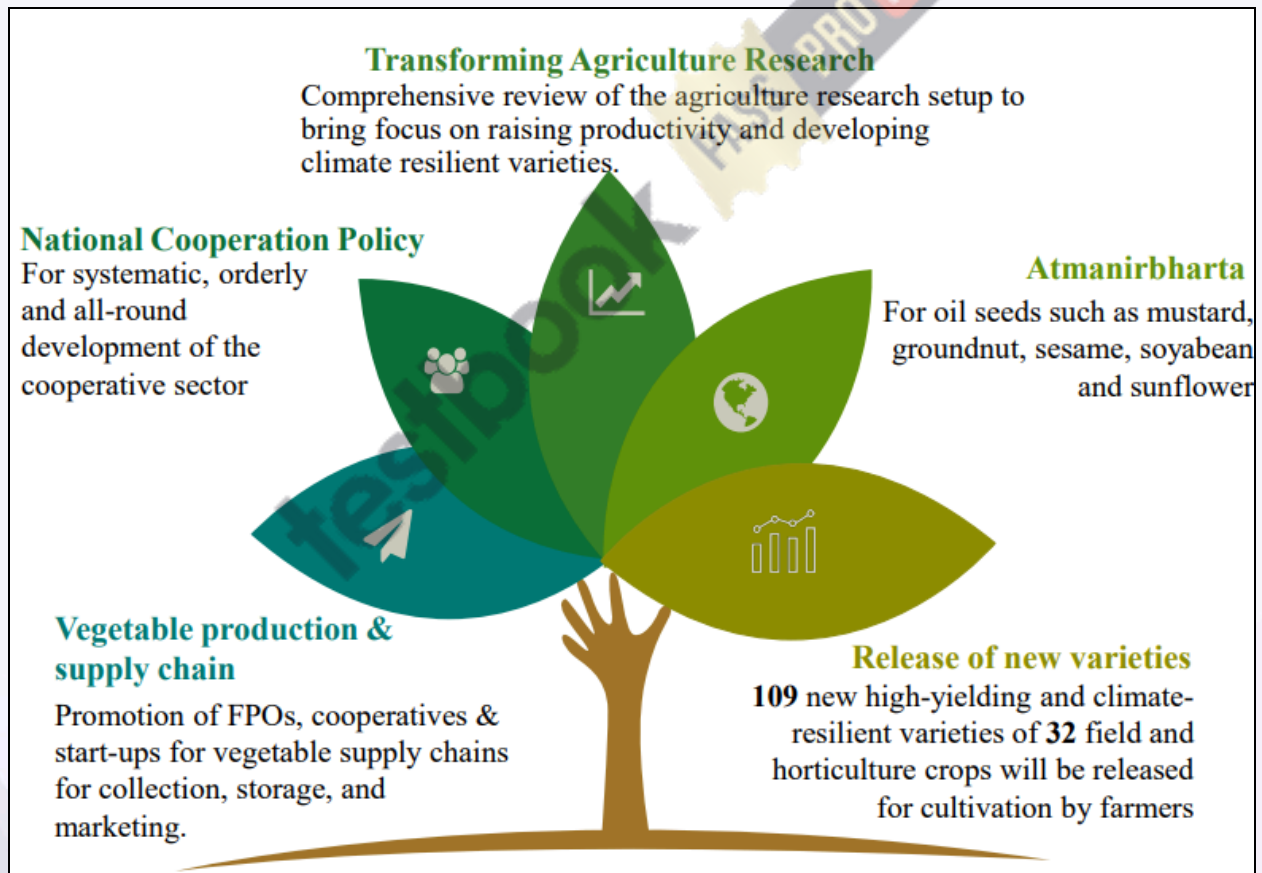
- The total receipts, excluding borrowings, are estimated at **₹32.07 lakh crore**.
- The net tax receipts are projected to be **₹25.83 lakh crore**.
- The fiscal deficit is targeted at **4.9% of GDP**, to reduce it below 4.5% in the subsequent year.
- The capital expenditure outlay has been increased by **11.1%** to **₹11.11 lakh crore**, focusing on infrastructure development.
- A provision of **₹2.66 lakh crore** has been made for rural development, including rural infrastructure projects.



Priorities for Viksit Bharat

Agriculture

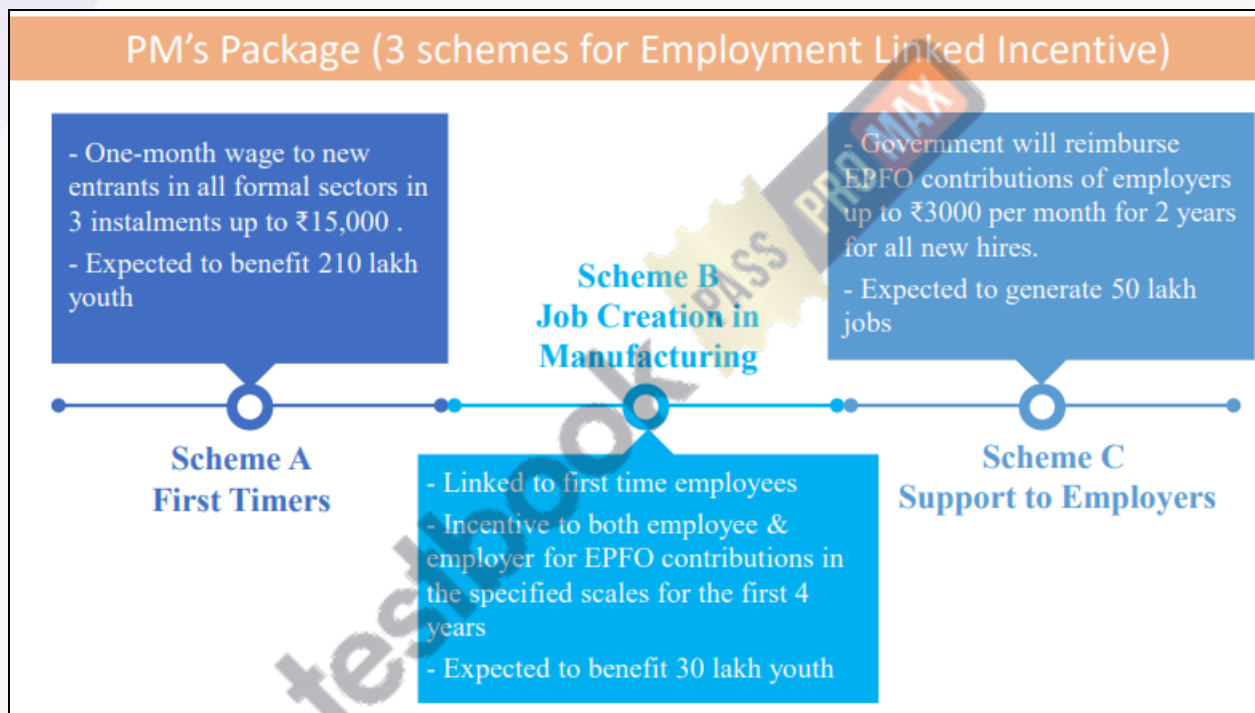
- **Vegetable Production:** Promotion of FPOs, cooperatives, and startups in vegetable supply chains.
- **New Varieties:** Release of **109 high-yielding and climate-resilient varieties** of crops.
- **Atmanirbharta in Oilseeds:** Focus on mustard, groundnut, soybean, and sunflower.
- **Natural Farming:**
 - **1 crore farmers** to be initiated in natural farming over the next two years.
 - Establishment of **10,000 bio-input resource centres**.
- **Shrimp Export:** Financing through NABARD for shrimp farming and processing.
- **Digital Public Infrastructure (DPI):**
 - Coverage of farmers and lands within three years.
 - Digital crop surveys in **400 districts**.
 - Issuance of Kisan Credit Cards under **Jan Samarth**.



Employment and Skilling

- **Skilling Program:**

- Skilling of **20 lakh youth** over five years.
- Upgradation of **1,000 ITIs**.
- **PM's Package:**
 - **Scheme A:** Incentives for EPFO contributions benefiting **30 lakh youth**.
 - **Scheme B:** Job creation in manufacturing.
 - **Scheme C:** Reimbursement of employer EPFO contributions, creating **50 lakh jobs**.
- **Student Loans:**
 - Loans up to **₹10 lakh** for domestic education with **3% interest subvention**.



Human Resource Development and Social Justice

Purvodaya: *Vikas bhi Virasat bhi*

- Plan for endowment rich states in the Eastern parts covering Bihar, Jharkhand, West Bengal, Odisha and Andhra Pradesh for generation of economic opportunities to attain Viksit Bharat.
- Amritsar Kolkata Industrial Corridor with development of an industrial node at Gaya.



Allocation of more than **₹3 lakh** crore for schemes benefitting women and girls.

Pradhan Mantri Janjatiya Unnat Gram Abhiyan: Improving the socio-economic condition of tribal communities covering **63,000** villages benefitting **5 crore** tribal people.



More than 100 branches of **India Post Payment Bank** will be set up in the North East region.

Urban Development

- **PM Awas Yojana Urban 2.0:**
 - Investment of **₹10 lakh crore** to address housing needs of **1 crore urban poor and middle-class families**.
- **Transit-Oriented Development:**
 - Plans for **14 large cities** with a population above **30 lakh**.
- **Street Food Hubs:**
 - Development of **100 weekly haats**.

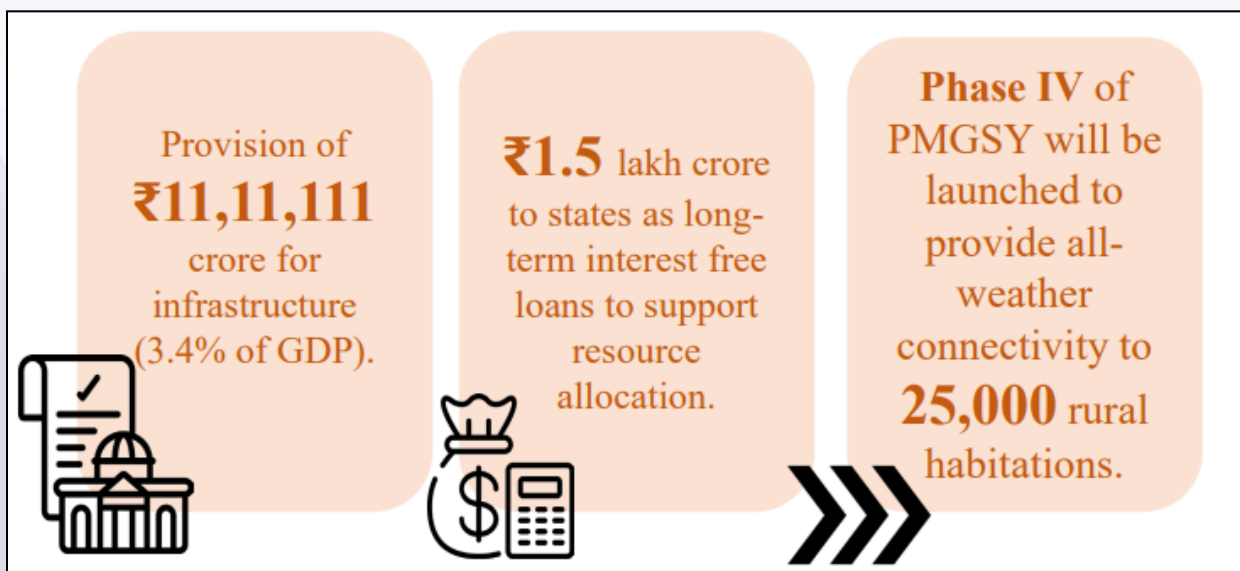


Energy Security

- **PM Surya Ghar Muft Bijli Yojana:**
 - Free electricity (up to **300 units/month**) for **1 crore households**.
- **Renewable Energy:**
 - Expansion of pumped storage policy with **800 MW plant**.

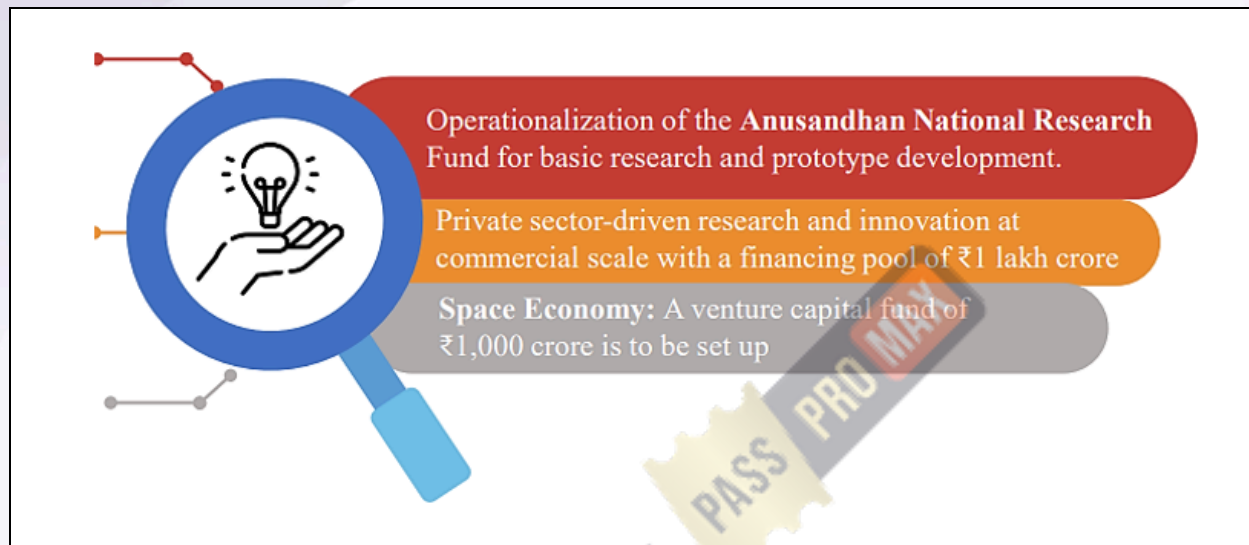
Infrastructure

- Capital expenditure is set at **₹11.11 lakh crore** (3.4% of GDP).
- **PMGSY Phase IV:** Providing all-weather connectivity to **25,000 rural habitations**.



Innovation, Research & Development

- Establishment of a **National Research Fund** with **₹1 lakh crore** for basic research and prototypes.
- Venture capital fund of **₹1,000 crore** for the space economy.



Fiscal Estimates

Category	Amount (₹ lakh crore)
Total Receipts (excluding borrowings)	32.07
Total Expenditure	48.21
Net Tax Receipts	25.83
Fiscal Deficit	4.9% of GDP

Tax Proposals

- **Standard Deduction:** Increased from **₹50,000** to **₹75,000**.
- **Family Pension Deduction:** Increased from **₹15,000** to **₹25,000**.
- **Mudra Loans:** Limit enhanced to **₹20 lakh**.

- **Angel Tax:** Abolished for all classes of investors.
- Reduction of:
 - **Custom Duty** on mobile phones to **15%**.
 - **Duty on precious metals** to **6%**.

Rationalisation of capital gains

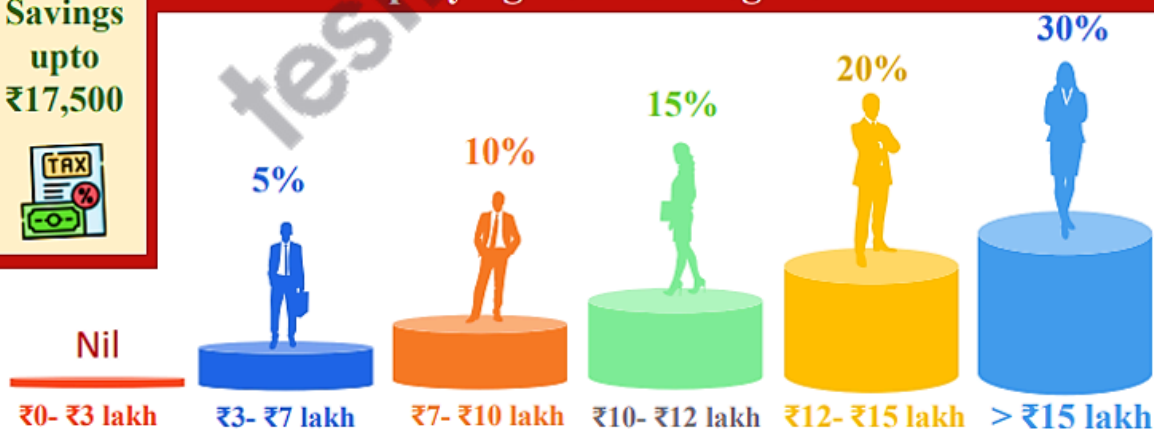
- Short term gains of financial assets to attract **20%** tax rate
- Long term gains on all financial and non-financial assets to attract a tax rate of **12.5%**
- Increase in limit of exemption of capital gains on financial assets to ₹1.25 lakh per year

- Abolish **ANGEL tax** for all classes of investors.
- Simpler tax regime to operate **domestic cruise**
- Provide for **safe harbour rates** for foreign mining companies (Selling raw diamonds)
- Corporate tax rate on foreign companies reduced from 40% to **35%**

Employment and Investment

Simplifying New Tax Regime

Savings
upto
₹17,500



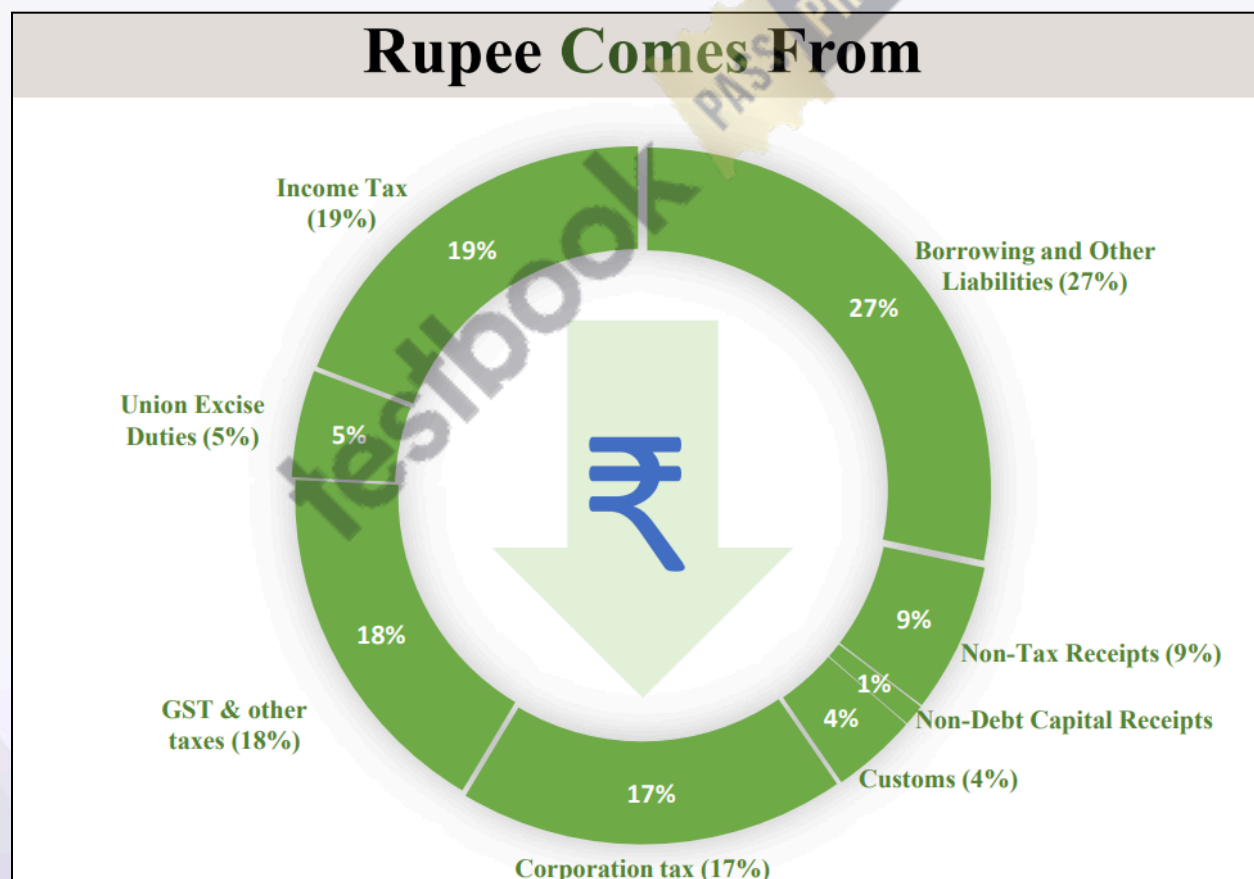
Standard Deduction for salaried employees increased from ₹50,000 to ₹75,000

Deduction on family pension for pensioners increased from ₹15,000 to ₹25,000

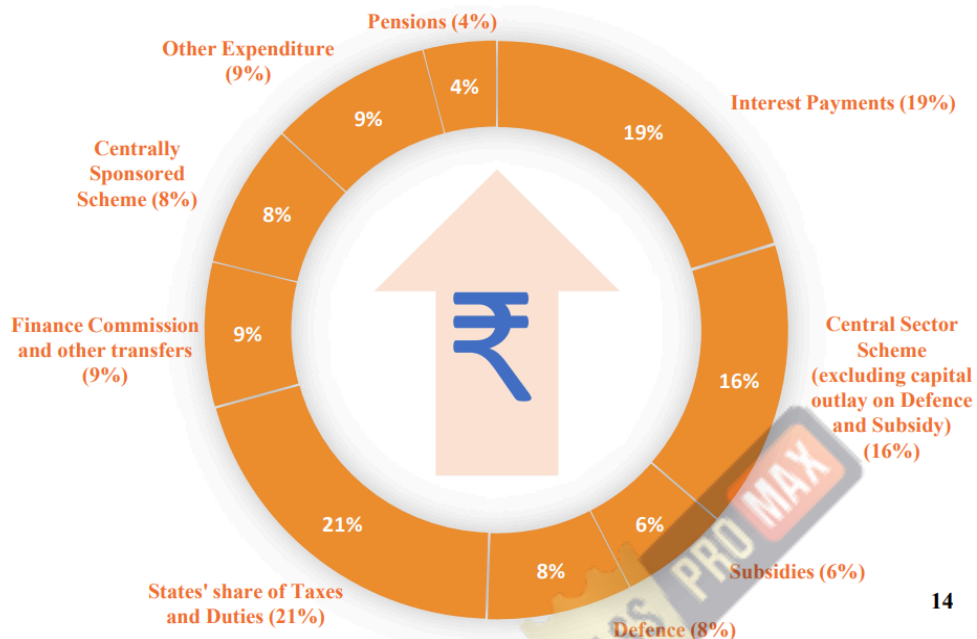
Key Allocations

Sector	Allocation (₹ crore)
Agriculture & Allied	1,51,851
Health	89,287
Education	1,25,638
Rural Development	2,66,000
Urban Housing (PMAY)	10,00,000

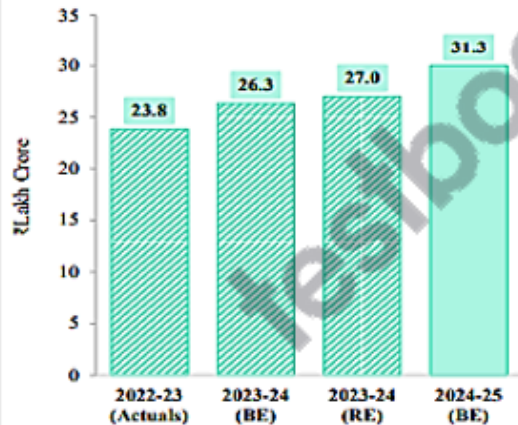
Other Important Highlights



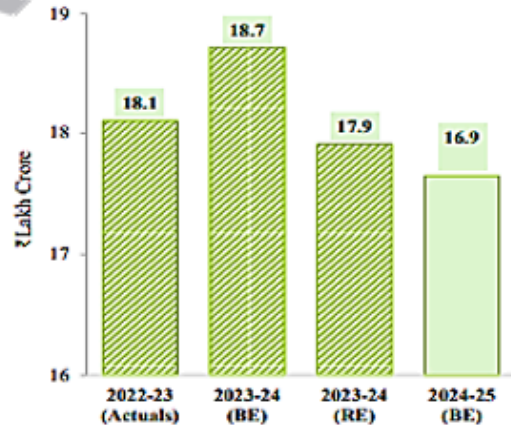
Rupee Goes To



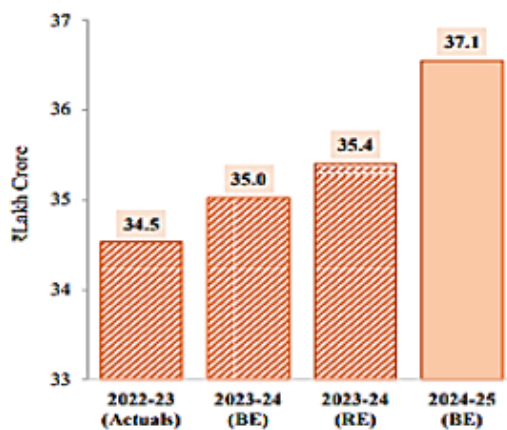
Revenue Receipts



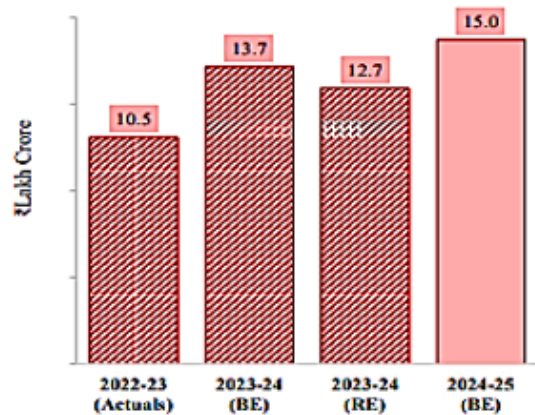
Capital Receipts



Revenue Expenditure



Effective Capital Expenditure



Allocation to Major Schemes (in Crores)

